Cost Price (C.P.)

A shopkeeper purchases goods from a manufacturer or a supplier. This is called Purchase Price. He also meets out the overhead expenses like transport charges, wages, etc. So, the **Cost Price (C.P.)** consists of the capital, the cost of raw materials, the labour charges for production, the electricity charges, the transport charges etc.

Think

The C.P. of a commodity differs from the manufacturer to the dealer or the shopkeeper. Why? Discuss.

C.P. = Purchase price + Overhead expenses

For example, ABC Cars, the car manufacturing company buys raw materials for ₹2,00,000 per car, pays ₹70,000 to labourers, ₹15,000 towards electricity bill, ₹10,000 towards transports. Therefore, the Cost Price (C.P.) of a car produced is
₹2,00,000 + ₹70,000 + ₹15,000 + ₹10,000 = ₹2,95,000.

Note

The shopkeeper may require to spend some amount to bring the purchased commodities, like transport charges, wages to workers, toll fee etc., which come as part of "overhead expenses".

Marked Price (M.P.)

When a shopkeeper takes the goods from the dealer to his outlet for sales, he has to make profit in his business. So, he marks the price higher than the cost price of the goods. This price is called as **Tag price or Marked Price (M.P.)**.

In the above example, ABC cars likes to make ₹50,000 as its profit. So, it fixes up the Marked Price (M.P.) of the car as ₹2,95,000 + ₹50,000 = ₹3,45,000.

Discount

The reduction of cost on the Marked Price for the purpose of attracting the customers or some other reasons is called **Discount**.



To increase the sales, ABC cars is ready to reduce ₹5,000 to its customers, who is buying the car. Here the discount is ₹5,000.

Note

M.R.P. is Maximum Retail Price, which is fixed by the manufacturer. No commodity can be sold beyond this price.

Think

Which is greater M.P. or C.P?

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